the relative decrease in share of advanced economies in the global GDP, there has been a marked shift in the *location of manufacturing.* This process was on in the 1990s too but got accelerated in the current decade. Again, the rise in share of China is particularly significant while other emerging economies, namely Brazil, India, Indonesia have also moved up in terms of their share in world manufacturing value added. Even with the change in distribution of global GDP and manufacturing across countries, it needs to be noted that the advanced countries still account for a large share of industrial output apart from being the repositories of technology and value added in services.

World Trade

The changes in distribution of manufacturing, to some extent, get reflected in the relative shares in world *merchandise trade*[9] (which also includes non-manufactured products). Again, there is a perceptible decline in the share of developed countries and rise in the importance of emerging economies, most significantly China. The share of India in global merchandise exports increased from about 0.5 per cent in 1990 to **1.5** per cent in 2010. Yet India's share remains miniscule and it ranks 19th in the global order of exporting countries.

Even in *service exports,* the high income countries have witnessed a declining share but they continue to account for an overwhelming **79** per cent of global service exports[10]. While India, by virtue of its information technology (IT) industry, has seen its share of service exports rise to 3.3 per cent, China has moved in from behind and now accounts for 4.5 per cent.

Financial services play a major role in some of the developed economies and, of the top 10 financial centres, most are located in advanced markets[11]. This is reflected in exports as well as imports and India figures in the top ten both as an exporter of financial services with a share of 2.4 per cent and an importer with a share of 6.7 per cent. *In general, the foregoing distribution of economic activities and trade has a bearing on where nations stand in terms of their position on various issues that get discussed in major economies global forums.*